

FUTURE OF INDUSTRIAL WORKERS

As high-tech manufacturing comes of age in India, companies are seeking better-skilled workers. But low wages and poor working conditions are making workers look elsewhere. Can this gulf be bridged?

BY SURABHI

OVER THE YEARS, the Indian manufacturing landscape has been undergoing a gradual shift. With the likes of Apple and Samsung setting up shop, companies are increasingly considering the country as an option for their global value chains and building factories.

186 | Equally important is that the manufacturing sector has started employing more workers out of India's 616-million strong labour force, with women becoming the face of the new industrial worker. In fact, data from the Periodic Labour Force Report, 2025, revealed that the share of manufacturing in employment has increased to 12.1% in 2025 from 11.6% in 2024.

The State of Working India 2026 report by the Azim Premji University also revealed that young women in the age group of 20-29 are increasingly employed in manufacturing, primarily in textile and apparel. IT, motor vehicle manufacturing and business support are some of the other industries that have seen the largest increase in employment of young graduate women.

But an important question remains to be asked: Is this enough? Jobs are few and far between, and well-paying formal jobs with social security remain on the lower side.

PLFS data reveals the labour force participation rate stood at 59.3% in 2025. With over eight million new entrants into the country's labour force every year, job creation has been lagging.

What's more, in the age of digitisation and AI, India's manufacturing is facing what seems to be a chicken-and-egg problem, with a disconnect between requirements of companies and aspirations of shop-floor workers. People are needed to fill a slew of

newer manufacturing roles like robotics welding operators, CNC operators, and automation technicians in highly automated factories. The sentiment is echoed by Siemens India CEO, Sunil Mathur, who recently told media that AI will reshape manufacturing jobs rather than eliminate them, with workers needing to continuously upskill as factories become increasingly automated.

Companies, looking for better skilled workers, often lament the skills of even graduate employees. They are being forced to retrain and re-skill workers to meet demands of new-age technologies. Earlier this year, Apple launched the Apple Education Hub in collaboration with the Manipal Academy of Higher Education in Bengaluru as part of its efforts to expand skill-building and training programmes for people across its supply chain in India.

A report by the Indian Staffing Federation pegs the total workforce in the country's manufacturing sector at about 37.2 million. Manmeet Singh, President, Indian Staffing Federation (ISF), says nearly 80% of employers across industries struggle to find skilled workers. "This isn't just an automation story—it's also geographic and

THE LABOUR LANDSCAPE

Manufacturing has started creating more jobs in India

Data shows low vocational training among workers, poor employability

With AI and digitisation in the forefront, companies are looking for better-skilled workers

Shop-floor employees aspire for better wages, improved working conditions

Need to balance needs of both to scale up manufacturing in the country